

Some bulls went further. Since stocks had “always” beaten bonds over any period of at least 30 years, stocks must be less risky than bonds or even cash in the bank. And if you can eliminate all the risk of owning stocks simply by hanging on to them long enough, then why quibble over how much you pay for them in the first place? (To find out why, see the sidebar on p. 82.)

In 1999 and early 2000, bull-market baloney was everywhere:

- On December 7, 1999, Kevin Landis, portfolio manager of the Firsthand mutual funds, appeared on CNN’s *Moneyline* telecast. Asked if wireless telecommunication stocks were overvalued—with many trading at infinite multiples of their earnings—Landis had a ready answer. “It’s not a mania,” he shot back. “Look at the outright growth, the absolute value of the growth. It’s big.”
- On January 18, 2000, Robert Froelich, chief investment strategist at the Kemper Funds, declared in the *Wall Street Journal*: “It’s a new world order. We see people discard all the right companies with all the right people with the right vision because their stock price is too high—that’s the worst mistake an investor can make.”
- In the April 10, 2000, issue of *BusinessWeek*, Jeffrey M. Applegate, then the chief investment strategist at Lehman Brothers, asked rhetorically: “Is the stock market riskier today than two years ago simply because prices are higher? The answer is *no*.”

But the answer is yes. It always has been. It always will be.

And when Graham asked, “Can such heedlessness go unpunished?” he knew that the eternal answer to that question is *no*. Like an enraged Greek god, the stock market crushed everyone who had come to believe that the high returns of the late 1990s were some kind of divine right. Just look at how those forecasts by Landis, Froelich, and Applegate held up:

- From 2000 through 2002, the most stable of Landis’s pet wireless stocks, Nokia, lost “only” 67%—while the worst, Winstar Communications, lost 99.9%.
- Froelich’s favorite stocks—Cisco Systems and Motorola—fell more than 70% by late 2002. Investors lost over \$400 billion on Cisco alone